

Breakout direction. Triple tops have downward breakouts only. If price closes above the top of the pattern before breaking out downward, then it's not a valid triple top.

Yearly position, performance. The best performance comes from triple tops with breakouts near the yearly low. Avoid those near the yearly high. It's reassuring (meaning the trend is consistent) to see that the further away from the yearly low you go, the worse the performance in both markets.

Pullbacks. Pullbacks occur two-thirds of the time, and it takes price 12 days on average to return to the breakout price.

When a pullback occurs, performance suffers. For example, in bear markets price declines 21% after the breakout when a pullback is present. Without a pullback, the decline measures 25%. If you can select a triple top that does not have a pullback, then good for you! Looking for nearby (within 6% to 10% below the breakout price) underlying support where price might reverse may help.

After a pullback completes, the stock resumes dropping 57% of the time. That also means 43% of the time the stock finds the ultimate low as price drops before pulling back.